



Cyient's Q1FY23 performance was a mixed bag with revenue marginally above our estimates and profitability below our estimates. However, Management's direction, strategy, tone and outlook during the Concall was extremely positive and should serve as a trigger for the stock which has largely bottomed out

- \$ Revenue came in at \$161.6 Mn, +3.1% qoq (4.4% cc growth) / +12.6% yoy and +1% vs. estimates.
- Services revenue stood at \$137.1 Mn, +5% qoq and +6.5% in cc terms. Out of 6.5% cc growth, 2.9% was contributed from inorganic, 1.1% from a Strategic Buyout and 2.5% from organic business
- INR revenue came in at INR 12,501 Mn, +5.8% qoq / +18.1% yoy and +1.4% above our estimates
- EBIT at INR 1,421 Mn, -16.1% qoq / +3.4% yoy and -4.9% below our estimates. Services EBIT margin stood at 12.8%, -261 bps qoq. DLM EBIT margins stood at 4.2%, down 175 bps qoq
- EBIT margins stood at 11.4%, vs 14.3% / 13% in Q4FY22 / Q1FY22 respectively and 75 bps below our est.
- PAT came in at INR 1,161 Mn, -24.7% qoq / +1% yoy and -4.1% below our estimates
- EPS at INR 10.6 in Q1FY23 vs 14/ 10.5 in Q4FY22 / Q1FY22 respectively

Segment-wise Performance

- **Services** (83.3% of revenue) reported a growth of +6.5% qoq / +18.7% yoy in cc terms
- **DLM** (16.7% of revenue) reported a degrowth of -6.3% qoq / +13.8% yoy

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY23E
Net sales	44,274	41,324	45,344	60,464	73,476
EBITDA	5,893	6,100	8,178	9,857	12,368
Adjusted net profit	3,423	3,714	5,277	6,038	7,657
Free cash flow	2,787	6,154	7,015	6,834	8,020
EPS (Rs)	30.5	33.0	46.9	53.7	68.1
growth (%)	-29%	9%	42%	14%	27%
P/E (x)	26.2	24.1	17.0	14.8	11.7
P/B (x)	3.5	3.0	2.7	2.5	2.2
EV/EBITDA (x)	13.8	12.4	8.6	6.7	4.9
ROCE (%)	12.7	12.5	15.9	17.0	19.3
RoE (%)	13.4	13.5	16.9	17.5	19.8
Dividend yield (%)	1.9	2.1	2.4	2.7	3.4

Source: Company

Rating	TP (Rs)	Up/Dn (%)
BUY	1,090	36

Market data

Current price	Rs	799
Market Cap (Rs.Bn)	(Rs Bn)	88
Market Cap (US\$ Mn)	(US\$ Mn)	1,103
Face Value	Rs	5
52 Weeks High/Low	Rs	1292 / 720
Average Daily Volume	('000)	567
BSE Code		532175
Bloomberg		CYL.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	23.40	23.41
Public	76.6	76.59
Total	100	100

Source: Bloomberg

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Concall Highlights

- **Cyient signed a large deal with an automotive client and management expects it to become a Top 5 account over the next 12-24 months.** Management did a strategic buyout (with 500 headcount) to accelerate ramp-up and win the above mentioned large long-term deal. **Expect Automotive vertical to be a significant and strategic focus area for the company going ahead which is a big positive considering this industry to be highly vibrant in nature.**
- Services EBIT margins stood at 12.8% (down 261 bps qoq) due to selective wage hikes (153 bps impact), investment in building talent pool, higher SG&A and lower utilization levels (which was one-off due to addition of freshers and headcount). However, **Management is confident of achieving 13-14% EBIT margins for FY23 due to several levers such as ability to increase prices from certain clients, improving utilization, rationalizing tail-end clients and automation**
- Expect Effective Tax Rate to be at 27% for FY23
- DSO was impacted in Q1FY23 due to certain client. However, expect it to come down and normalize by next quarter itself and FCF to EBITDA to normalize at 50%
- Order intake during the quarter stood at \$164.8 Mn, -21.4% qoq / +17.5% yoy. Additionally, management stated that it won 6 large deals with total contract potential of ~\$424.3 million (4 from services and 2 from DLM)
- **Acquisition update:** Citech will close during Q2FY23; Grit was closed in Q1FY23 and figures were partially included in Q1FY23; Celfinet was closed on last day of Q1FY23 and therefore financials were not included in the quarter. Expect Citech to do EBITDA margins of 10-11% in the 1st year (due to integration expenses and certification requirements) and 13-15% in the 2nd year
- Appointed Prabhakar Shetty – ex-Global Head of Digital Manufacturing Services and Products & Solutions at L&T Technology Services – as Chief Digital Officer to expand the company's digital technology footprint by scaling the services lines related to connected manufacturing, intelligent products, and platforms and strengthening IntelliCyient, its digital solutions suite

Vertical-wise updates:

(Company moved to a new reporting structure with Portfolio services being split into 3 Mining, Energy and Utilities (MEU) and New Growth Areas namely Automotive and Mobility, Healthcare & Lifesciences, HiTech and Semiconductor)

- **Aerospace** was flat qoq and +8.9% yoy. Global travel is estimated to pick up and we expect business to recover by mid to end of FY23. North America Aero OEM may continue to struggle, but focus will be on electrification, urban air mobility and space & defence
- **Rail Transportation** was down -10.5% qoq and -22.5% yoy and was largely impacted due to on-going consolidation in the industry. Management expects this vertical to recover by H2FY23 with opportunities in Rail Signalling, embedded systems, digital transformation and capacity expansions.
- **Communications** was up +9.2% qoq / +15.3% yoy. Strong growth foreseen in Network Transformation and Modernization in the areas of fiber roll out, wireless and 5G.
- **MEU** was down -7.9% qoq and +19.7% yoy mainly because 1 Mining contract ended in the previous quarter
- **Automotive:** Cyient is uniquely positioned to address the increased demand from Infotainment, Connected, ADAS, Autonomous, Hybrid & Electric Mobility
- **Lifesciences & Healthcare:** Cyient commenced a new line of business working with a LifeSciences customer and aims to play in the convergence area of
- **DLM** was down -6.3% qoq and +1% yoy. Company won 1 large deal in the Aerospace segment

FY23e Outlook

- Maintained FY23e growth outlook at 13-15% in cc terms

- DLM to grow at high single digit
- 6-7% growth will be added due to acquisitions
- EBIT margins are expected to be in the range of 13-14%

Quarterly Deviation Sheet

YE March (Rs. mn)	Q1 FY23	Q4 FY22	Q-o-Q change %	Q1 FY22	Y-o-Y change %	Q1 FY23 Est.	Deviation %
Total Revenue (USD Mn)	161.6	157	3%	144	13%	160	1%
Total Revenue (INR Mn)	12,501	11,812	6%	10,582	18%	12,330	1%
Less:							
Cost of Revenues	7,893	7,156	10%	6,768	17%	7,803	1%
SG&A Expenses	2,676	2,532	6%	1,950	37%	2,528	6%
Total Expenditure	10,569	9,688	9%	8,718	21%	10,330	2%
EBIDTA	1,932	2,124	(9%)	1,864	4%	2,000	-3%
Less: Depreciation	511	429	19%	490	4%	506	1%
EBIT	1,421	1,695	(16%)	1,374	3%	1,494	-5%
Interest Paid	163	104	57%	96	70%	104	
Other income (expense), net	337	494	(32%)	257	31%	247	37%
Profit Before Tax	1,595	2,085	(24%)	1,535	4%	1,637	-3%
Tax	412	465	(11%)	369	12%	426	-3%
PAT before Minority Interest	1,161	1,542	(25%)	1,150	1%	1,211	-4%
Profit After Tax	1,161	1,542	(25%)	1,150	1%	1,211	-4%
Adjusted PAT	1,161	1,542	(25%)	1,150	1%	1,211	
Basic & Diluted EPS (Rs.)	10.6	14.0	(25%)	10.5	1%	11.0	-4%
Basic & Diluted Outstanding (mn)	110	110		110		110	
Margin Analysis %			Change In bps		Change In bps		
EBIDTA Margin	15.5%	18.0%	-253	17.6%	-216	16.2%	-76
EBIT Margin	11.4%	14.3%	-298	13.0%	-162	12.1%	-75
PBT Margin	12.8%	17.7%	-489	14.5%	-175	13.3%	-52
NPM	9.3%	13.1%	-377	10.9%	-158	9.8%	-54
Effective Tax Rate (%)	27.2%	26.0%	117	25.1%	213	26.0%	121
Cost Analysis %			Change In bps		Change In bps		
Cost of Revenues/ Sales	63.1%	60.6%	256	64.0%	-82	63.3%	-14
Other income/ PBT	21.1%	23.7%	-256	16.7%	439	15.1%	606

Source: Company, D&B Research

Valuation & Outlook

Cyient is currently trading at 14.5x / 11.5x FY23e / FY24e EPS.

We believe that Cyient has bottomed out and vertical wise performance has started showing certain green-shoots and should report growth from H2 onwards. Margins should also see one more quarter of pressure due to impending wage hikes and then rebound sharply from H2FY23e onwards. Moreover, New Growth Areas such as Automotive & Mobility and Healthcare & Lifesciences show good prospect and seem promising.

Taking the current results and management commentary into consideration, **we re-iterate our BUY rating on the stock as we assign a target multiple of 16x FY24e to arrive at a target of INR 1,090.**

Financials

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Total Revenue	44,274	41,324	45,344	60,464	73,476
Less:					
Cost of Services	4,066	5,165	5,881	5,842	6,726
Employee Cost	24,776	21,611	22,665	33,304	40,408
SG&A Expenses & Other	9,683	8,350	8,795	11,218	13,492
Total Operating Expenditure	38,381	35,224	37,166	50,607	61,107
EBIDTA	5,893	6,100	8,178	9,857	12,368
Less: Depreciation	1,878	1,945	1,922	2,214	2,634
EBIT	4,015	4,155	6,256	7,643	9,734
Growth %	-24.6%	3.5%	50.6%	22.2%	27.4%
Interest Paid	486	433	393	652	652
Non-operating Income	1,583	1,399	1,121	1,170	1,285
Profit Before tax	4,708	5,080	6,984	8,161	10,367
Tax	1,270	1,351	1,692	2,108	2,695
Net Profit before Minority	3,438	3,729	5,292	6,053	7,672
Minority Interest	-13	-13	-13	-13	-13
Profit/Loss of Associates	-28	-28	-28	-28	-28
Net Profit	3,397	3,688	5,251	6,012	7,631
Adjusted Profit	3,423	3,714	5,277	6,038	7,657
Reported Diluted EPS Rs	30.5	33.0	46.9	53.7	68.1
Growth %	-29.3%	8.5%	42.1%	14.4%	26.8%
Adjusted Diluted EPS Rs	30.5	33.0	46.9	53.7	68.1

Key Ratios					
EBIDTA (%)	13.3%	14.8%	18.0%	16.3%	16.8%
EBIT (%)	9.1%	10.1%	13.8%	12.6%	13.2%
NPM (%)	7.7%	9.0%	11.6%	10.0%	10.4%
RoE (%)	13.4%	13.5%	16.9%	17.5%	19.8%
RoCE (%)	13.5%	12.9%	17.8%	19.9%	23.0%
Tax Rate %	27.0%	26.6%	24.2%	25.8%	26.0%
Book Value Per share (Rs.)	227.8	263.1	291.4	323.6	364.5

Valuation Ratios					
P/E (x)	25.6x	23.6x	16.6x	14.5x	11.5x
EV/EBITDA	13.5x	12.1x	8.4x	6.5x	4.8x
P/BV (x)	3.4x	3.0x	2.7x	2.4x	2.1x
Market Cap. / Sales (x)	2.0x	2.1x	1.9x	1.5x	1.2x

Key Ratios (Consolidated)					
YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Key Operating Ratios					
EBITDA Margin (%)	13.3%	14.8%	18.0%	16.3%	16.8%
Tax / PBT (%)	27.0%	26.6%	24.2%	25.8%	26.0%
Net Profit Margin (%)	7.7%	9.0%	11.6%	10.0%	10.4%
RoE (%)	13.4%	13.5%	16.9%	17.5%	19.8%
RoCE (%)	12.7%	12.5%	15.9%	17.0%	19.3%
Current Ratio (x)	2.6x	2.9x	3.5x	3.1x	3.0x
Dividend Payout (%)	49.3%	51.5%	40.0%	40.0%	40.0%
Book Value Per Share (Rs.)	227.8	263.1	291.4	323.6	364.5
Financial Leverage Ratios					
Interest Coverage (x)	12.1x	14.1x	20.8x	15.1x	19.0x
Growth Indicators %					
Sales Growth (%)	(4.1%)	(6.7%)	9.7%	33.3%	21.5%
EBITDA Growth (%)	(8.4%)	3.5%	34.1%	20.5%	25.5%
Net Profit Growth (%)	(29.3%)	8.5%	42.1%	14.4%	26.8%
Diluted EPS Growth (%)	(29.3%)	8.5%	42.1%	14.4%	26.8%

Balance Sheet (Consolidated)

YE March(Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Liabilities					
Equity Capital	550	550	563	563	563
Reserves & Surplus	25,059	29,023	32,189	35,812	40,406
Equity	25,609	29,573	32,752	36,375	40,969
Net Worth	25,609	29,573	32,752	36,375	40,969
Net Deferred tax liability/(Ass	4,170	3,646	3,345	3,720	3,571
Total Loans	883	619	355	91	-173
Capital Employed	30,662	33,838	36,453	40,186	44,367
Assets					
Gross Block	9,353	10,674	11,808	13,319	15,156
Less: Depreciation	5,148	5,804	7,726	9,940	12,574
Net Block	4,205	4,870	4,082	3,379	2,582
Investments	723	610	669	893	1,085
Current Assets					
Sundry Debtors	7,262	8,026	8,075	9,939	11,676
Cash and Bank Balance	9,250	14,650	19,456	24,087	28,853
Loans and Advances	7,756	5,341	3,401	4,051	4,923
Total Current Assets	29,269	32,144	34,260	42,434	50,146
Less:Current Liabilities					
Sundry Creditors	3,729	4,532	4,786	6,516	7,869
Total Current Liabilities	11,135	11,090	9,885	13,891	16,857
Capital Applied	30,662	33,838	36,453	40,186	44,367

Cash Flows (Consolidated)

YE December (Rs. Mn)	FY20	FY21	FY22	FY23E	FY24E
PAT	3,423.0	3,714.0	5,277.0	6,038.0	7,656.8
Less: Non Operating Income	(1,583.0)	(1,399.0)	(1,121.0)	(1,170.4)	(1,284.9)
Add: Depreciation	1,878.0	1,945.0	1,922.0	2,214.4	2,634.1
Add: Interest Paid	486.0	433.0	393.0	652.0	652.0
Operating Profit before WC Changes	4,232.0	4,721.0	6,499.0	7,761.9	9,686.0
Net Cash From Operations	3,237.0	7,201.0	7,984.9	8,224.8	9,705.6
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	(2,553.0)	(2,610.0)	(1,133.6)	(1,511.6)	(1,836.9)
Cash Flow from Financing Activities					
Inc/(Dec) in Total Loans	(253.0)	(264.0)	(264.0)	(264.0)	(264.0)
Dividend Paid	(1,689.0)	(1,914.2)	(2,110.8)	(2,415.2)	(3,062.7)
Net Cash from Financing Activities	(2,648.0)	(1,012.0)	(3,055.5)	(2,956.1)	(4,128.6)
Net Inc/Dec in cash equivalents	(859.0)	5,359.0	4,806.4	4,631.0	4,766.0
Opening Balance	9,705.0	9,250.0	14,650.0	19,456.4	24,087.5
Closing Balance Cash and	8,846.0	14,609.0	19,456.4	24,087.5	28,853.5

Free Cash Flow Statement

YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
EBITDA	5,893	6,100	8,178	9,857	12,368
FC Investment	1,028	1,321	1,134	1,512	1,837
WC Changes	-995	2,480	1,486	463	20
Depreciation Tax Shield	507	517	466	572	685
Tax Expenses	1,590	1,622	1,981	2,546	3,216
FCF	2,787	6,154	7,015	6,834	8,020

Source: Dalal & Broacha Research, Company

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